

HOUSE No. 3903

The Commonwealth of Massachusetts

PRESENTED BY:

Thomas W. Moakley and Julian Cyr

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act authorizing the town of Nantucket to impose a real estate transfer fee for affordable and workforce housing and related capital improvements.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Thomas W. Moakley</i>	<i>Barnstable, Dukes and Nantucket</i>	<i>1/30/2025</i>
<i>Julian Cyr</i>	<i>Cape and Islands</i>	<i>2/3/2025</i>

HOUSE No. 3903

By Representative Moakley of Falmouth and Senator Cyr, a joint petition (accompanied by bill, House, No. 3903) of Thomas W. Moakley and Julian Cyr (by vote of the town) that the town of Nantucket be authorized to impose a real estate transfer fee for affordable and workforce housing and related capital improvements. Revenue. [Local Approval Received.]

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act authorizing the town of Nantucket to impose a real estate transfer fee for affordable and workforce housing and related capital improvements.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. For purposes of this act, the words and phrases set forth in this section shall
2 have the following meanings:

3 “Affordable Housing Restriction” is a recorded instrument held by a qualified holder
4 which encumbers and/or restricts a real property interest so that the real property interest is
5 perpetually or for a term of at least thirty (30) years limited to use as a residence occupied by a
6 low or moderate income household which earns less than a specified income level, the upper
7 limit of which may not exceed two hundred forty percent (240%) of the Nantucket median
8 income. A “qualified holder” is a governmental body or charitable corporation or trust which
9 qualifies under the terms of chapter one hundred eight-four of the General Laws (“Chapter 184”)
10 to hold an affordable housing restriction. Without limiting the generality of the foregoing,
11 “Affordable Housing Restriction” includes but is not limited to any instrument which conforms

to the requirements of (i) a Nantucket Housing Needs Covenant as described in Chapter 301 of the Acts of 2002 and defined in the Town of Nantucket Code.

"Housing and Community Development Fund", shall refer to a discrete fund or account, established by the county treasurer of the Nantucket County under the provisions of this act.

"Eligible Applicants", shall refer to non-profit and for-profit corporations and organizations, individuals, and public entities.

"Purchaser", shall refer to the transferee, grantee or recipient of any real property interest.

"Purchase price", all consideration paid or transferred by or on behalf of a purchaser to a seller or his nominee, or for his benefit, for the transfer of any real property interest, and shall include, but not be limited to, all cash or its equivalent so paid or transferred; all cash or other property paid or transferred by or on behalf of the purchaser to discharge or reduce any obligation of the seller; the principal amount of all notes or their equivalent, or other deferred payments, given or promised to be given by or on behalf of the purchaser to the seller or his nominee; the outstanding balance of all obligations of the seller which are assumed by the purchaser or to which the real property interest transferred remains subject after the transfer, determined at the time of transfer, but excluding real estate taxes and other municipal liens or assessments which are not overdue at the time of transfer; the fair market value, at the time of transfer, of any other consideration or thing of value paid or transferred by or on behalf of the purchaser, including, but not limited to, any property, goods or services paid, transferred or rendered in exchange for such real property interest.

"Real property interest", shall refer to any present or future legal or equitable interest in or to real property, and any beneficial interest therein, including the interest of any beneficiary in

a trust which holds any legal or equitable interest in real property, the interest of a partner or member in a partnership or limited liability company, the interest of a stockholder in a corporation, the interest of a holder of an option to purchase real property, the interest of a buyer or seller under a contract for purchase and sale of real property, and the transferable development rights created under chapter one hundred eighty-three A of the General Laws; but shall not include any interest which is limited to any of the following: the dominant estate in any easement or right of way; the right to enforce any restriction; any estate at will or at sufferance; any estate for years having a term of less than 30 years; any reversionary right, condition, or right of entry for condition broken; and the interest of a mortgagee or other secured party in any mortgage or security agreement.

"Seller", shall refer to the transferor, grantor or immediate former owner of any real property interest.

"Time of transfer" of any real property interest shall mean the time at which such transfer is legally effective as between the parties thereto, and, in any event, with respect to a transfer evidenced by an instrument recorded with the appropriate registry of deeds or filed with the assistant recorder of the appropriate registry district, not later than the time of such recording or filing.

"Town" shall refer to the Town of Nantucket acting by and through the Select Board.

SECTION 2. There is hereby imposed a fee equal to one half per cent ($\frac{1}{2}\%$) of the purchase price upon the transfer of any real property interest in any real property situated in Nantucket County. Said fee shall be the liability of the seller of such real property interest, and any agreement between the purchaser and the seller or any other person with reference to the

allocation of the responsibility for bearing said fee shall not affect such liability of the seller. The fee shall be paid to the Town of Nantucket, or its designee, and shall be accompanied by a copy of the deed or other instrument evidencing such transfer, if any, and an affidavit signed under oath or under the pains and penalties of perjury by the purchaser or his legal representative and the seller or his legal representative, attesting to the true and complete purchase price and the basis, if any, upon which the transfer is claimed to be exempt in whole or in part from the fee imposed hereby. The Town, or its designee, shall promptly thereafter execute and issue a certificate indicating that the appropriate fee has been paid or that the transfer is exempt from the fee, stating the basis for the exemption. The register of deeds for Nantucket County, and the assistant recorder for the registry district of Nantucket County, shall not record or register, or receive or accept for recording or registration, any deed, except a mortgage deed, to which has not been affixed such a certificate executed by the Town or its designee. Failure to comply with this requirement shall not affect the validity of any instrument. The Town shall deposit all fees received hereunder with the Town treasurer. The treasurer shall deposit such fees in the Affordable Housing Trust Fund. The fee imposed hereunder shall be due simultaneously with the time of transfer of the transfer upon which it is imposed. Notwithstanding the foregoing, whenever there is a conveyance of real property interests and a conveyance of personalty related thereto at or about the same time, the allocations of payments between real estate and personalty agreed to by the purchaser and seller shall not determine the amount of the fee due pursuant to this section; instead, the Town may require payment of the fee referred to in real property interests so conveyed as determined by the Town.

SECTION 3. At any time within seven days following the issuance of the certificate of payment of the fee imposed by section two, the seller or his legal representative may return said

certificate to the Town or its designee for cancellation, together with an affidavit signed under oath or under the pains and penalties of perjury that the transfer, with respect to which such certificate was issued, has not been consummated, and thereupon the fee paid with respect to such transfer shall be forthwith returned to the seller or his legal representative.

SECTION 4. The following transfers of real property interests shall be exempt from the fee established by section 10. Except as otherwise provided, the seller shall have the burden of proof that any transfer is exempt under this section and any otherwise exempt transfer shall not be exempt in the event that such transfer (by itself or as part of a series of transfers) was made for the primary purpose of evading the fee imposed by section 10.

(a) Transfers to the government of the United States, the commonwealth, and any of their instrumentalities, agencies or subdivisions, including but not limited to transfers to the Town of Nantucket, the County of Nantucket.

(b) Transfers which, without additional consideration, confirm, correct, modify or supplement a transfer previously made.

(c) Transfers made as gifts without consideration. In any proceedings to determine the amount of any fee due hereunder, it shall be presumed that any transfer for consideration of less than fair market value of the real property interest transferred was made as a gift without consideration to the extent of the difference between the fair market value of the real property interest transferred and the amount of consideration claimed by the seller to have been paid or transferred, if the purchaser shall have been at the time of transfer the spouse, the lineal descendant, or the lineal ancestor of the seller, by blood or adoption, and otherwise it shall be

100 presumed that consideration was paid in an amount equal to the fair market value of the real
101 property interest transferred, at the time of transfer.

102 (d) Transfer to the trustees of a trust in exchange for a beneficial interest received by the
103 purchaser in such trust; distributions by the trustees of a trust to the beneficiaries of such trust.

104 (e) Transfers by operation of law without actual consideration, including but not limited
105 to transfers occurring by virtue of the death or bankruptcy of the owner of a real property
106 interest.

107 (f) Transfers made in partition of land and improvements thereto, under chapter two
108 hundred and forty-one of the General Laws.

109 (g) Transfers to any charitable organization as defined in clause Third of section five of
110 chapter fifty-nine of the General Laws, or any religious organization, provided that the real
111 property interest so transferred will be held by the charitable or religious organization solely for
112 its public charitable or religious purposes.

113 (h) Transfers to a mortgagee in foreclosure of the mortgage held by such mortgagee, and
114 transfers of the property subject to a mortgage to the mortgagee in consideration of the
115 forbearance of the mortgagee from foreclosing said mortgage.

116 (i) Transfers made to a corporation or partnership or limited liability company at the time
117 of its formation, pursuant to which transfer no gain or loss is recognized under the provisions of
118 section three hundred and fifty-one or seven hundred and twenty-one of the Internal Revenue
119 Code of 1986, as amended; provided, however, that such transfer shall be exempt only in the
120 event that (1) with respect to a corporation, the transferor retains an interest in the newly formed

corporation which is equivalent to the interest the transferor held prior to the transfer, or (2) with respect to a partnership or limited liability company, the transferor retains after such formation rights in capital interests and profit interests within such partnership or limited liability company which are equivalent to the interest the transferor held prior to the transfer.

(j) Transfers made to a stockholder of a corporation in liquidation or partial liquidation of the corporation, and transfers made to a partner of a partnership or to a member of a limited liability company in dissolution or partial dissolution of the partnership or limited liability company; but the transfer shall be exempt only if (i) with respect to a corporation, the transferee receives property (including real property interests and other property received) which is the same fraction of the total property of the transferor corporation as the fraction of the corporation's stock owned by the transferee prior to the transfer or (ii) with respect to a partnership or limited liability company, the transferee receives property (including real property interests and other property received) which is the same fraction of the property of the partnership or limited liability company as the fraction of the capital and profit interests in the transferor formerly owned by the transferee.

(k) Transfers consisting of the division of marital assets under the provisions of section thirty-four of chapter two hundred and eight of the General Laws or other provisions of law.

(l) Transfers of property consisting in part of real property interests situated in Nantucket County and in part of other property interests, to the extent that the property transferred consists of property other than real property situated in Nantucket County; provided that the purchaser shall furnish the Town with such information as it shall require or request in support of the claim of exemption and manner of allocation of the consideration for such transfers.

(m) The first \$2 million of the sale price of any transfer or series of transfers of real property interests in a single transaction. Said exemption may be adjusted as determined annually by the affirmative vote of two-thirds of voters at an annual or special town meeting.

(n) Transfers of minority interests in corporations, trusts, partnerships or limited liability companies which are publicly traded, which trades are not part of a series of transfers which together constitute a transfer of control of a corporation, trust, partnership or limited liability company.

SECTION 5. (a) The Town treasurer shall keep a full and accurate account stating when, from or to whom, and on what account money has been paid or received relative to the activities of the Trust Fund and the Housing Fund. Said account shall be subject to examination by the director of accounts or his agent pursuant to section forty four of chapter thirty five of the General Laws.

(b) Schedules of beneficiaries of trusts, list of stockholders of corporations and lists of partnerships filed with the Trust Fund for the purpose of determining or fixing the amount of the fee imposed under section ten or for the purpose of determining the existence of any exemption under section twelve shall not be public records for the purposes of section ten of chapter sixty-six of the General Laws.

SECTION 6. A seller who fails to pay all or any portion of the fee established by section two on or before the time when the same is due shall be liable for the following additional payments in addition to said fee:

(a) Interest: The seller shall pay interest on the unpaid amount of the fee to be calculated from the time of transfer at a rate equal to fourteen per cent per annum.

(b) Penalties: Any person who, without fraud or willful intent to defeat or evade a fee imposed by this chapter, fails to pay all or a portion of the fee within thirty days after the time of transfer, shall pay a penalty equal to five per cent of the outstanding fee as determined by the Town for each month or portion thereof thereafter that the fee is not paid in full; provided, however, that in no event shall the amount of any penalty imposed hereunder exceed twenty five per cent of the unpaid fee due at the time of transfer. Whenever the Town determines that all or a portion of a fee due under this chapter was unpaid due to fraud with intent to defeat or evade the fee imposed by this chapter, a penalty equal to the amount of said fee as determined by the Town shall be paid by the seller in addition to said fee.

SECTION 7. (a) The Town shall notify the purchaser and the seller by registered or certified mail of any failure to discharge in full the amount of the fee due under this Act and any penalty or interest assessed. The Town shall grant a hearing on the matter of the imposition of said fee, or of any penalty or interest assessed, if a petition requesting such hearing is received by the Town within thirty days after the mailing of said notice. The Town shall notify the purchaser and the seller in writing by registered or certified mail of its determination concerning the deficiency, penalty or interest within fifteen days after said hearing. Any party aggrieved by a determination of the Town concerning a deficiency, penalty or interest may, after payment of said deficiency, appeal to the district or superior court within three months after the mailing of notification of the determination of the Town. Upon the failure to timely petition for a hearing, or appeal to said courts, within the time limits hereby established, the purchaser and seller shall be bound by the terms of the notification, assessment or determination, as the case may be, and shall be barred from contesting the fee, and any interest and penalty, as determined by the Town. All decisions of said courts shall be appealable. Every notice to be given under this section by the

188 Town shall be effective if mailed by certified or registered mail to the purchaser or the seller at
189 the address stated in a recorded or registered instrument by virtue of which the purchaser holds
190 any interest in land, the transfer of which gives rise to the fee which is the subject of such notice;
191 and if no such address is stated or if such transfer is not evidenced by an instrument recorded or
192 registered in the public records in Nantucket County, such notice shall be effective when so
193 mailed to the purchaser or seller in care of any person appearing of record to have a fee interest
194 in such land, at the address of such person as set forth in an instrument recorded or registered in
195 Nantucket County.

196 (b) All fees, penalties and interest required to be paid pursuant to this chapter shall
197 constitute a personal debt of the seller and may be recovered in an action of contract or in any
198 other appropriate action, suit or proceeding brought by the Town; said action, suit or proceeding
199 shall be subject to the provisions of chapter two hundred and sixty of the General Laws.

200 (c) If any seller liable to pay the fee established by this act neglects or refuses to pay the
201 same, the amount, including any interest and penalty thereon, shall be a lien in favor of the Town
202 upon all property and rights to property, whether real or personal, belonging to either such
203 purchaser or such seller. Said lien shall arise at the time of transfer and shall continue until the
204 liability for such amount is satisfied. Said lien shall in any event terminate not later than six years
205 following the time of transfer. Said lien shall not be valid as against any mortgagee, pledgee,
206 purchaser or judgment creditor unless notice thereof has been filed by the Town (i) with respect
207 to real property or fixtures, in the registry of deeds for Nantucket County, or (ii) with respect to
208 personal property, in the office in which a security or financing statement or notice with respect
209 to the property would be filed in order to perfect a nonpossessory security interest belonging to

210 the person named in the relevant notice, subject to the same limitations as set forth in section
211 fifty of chapter sixty two C of the General Laws.

212 (d) Sellers applying for an exemption under subsections (a) through (n) of section four
213 shall be required at the time of application for exemption to execute an agreement legally
214 binding on sellers and separately legally binding upon any Legal Representative of the sellers (1)
215 assuming complete liability for any fee, plus interest and penalties if any, waived on account of
216 an allowed exemption subsequently determined to have been invalid, and (2) submitting to the
217 jurisdiction of the trial court of the commonwealth sitting in Nantucket County. Fees, plus
218 interest and penalties if any, shall be calculated as of the date of the initial property transfer.
219 Execution of the above-described agreement shall not be required of any mortgagee, pledge,
220 purchaser or judgment creditor unless notice of the agreement has been recorded or filed by the
221 Town.

222 In any case where there has been a refusal or neglect to pay any fee, interest or penalties
223 imposed by this act, whether or not levy has been made, the Town, in addition to other modes of
224 relief, may direct a civil action to be filed in a district or superior court of the commonwealth to
225 enforce the lien of the Town under this section with respect to such liability or to subject any
226 property of whatever nature, of the delinquent, or in which he has any right, title or interest, to
227 the payment of such liability.

228 The Town may issue a waiver or release of any lien imposed by this section. Such waiver
229 or release shall be conclusive evidence that the lien upon the property covered by the waiver or
230 release is extinguished.

SECTION 8. The fee described in section 2 shall be of a ten-year duration from the date this act shall take effect. This fee may continue for five-year periods by a majority vote at a Town Meeting authorizing the fee. The fee described by section 2 may be (1) decreased, or (2) eliminated by two-thirds vote of Town Meeting. In the event that Town Meeting votes to eliminate the fee, the balance of any fees previously collected shall be transferred to the Town of Nantucket and held by the treasurer in a separate account, and shall first be used to satisfy any outstanding liabilities or obligations incurred by the Town of Nantucket or the Affordable Housing Trust as a result of imposition of the fee, and the remainder may be expended without further appropriation by the Select Board for affordable housing purposes. In the event that the liabilities and obligations of the Town of Nantucket or the Affordable Housing Trust exceed the amounts transferred to the Town, the fee shall remain in full force and effect until such liabilities and obligations have been satisfied.

SECTION 9. The provisions of this act are severable, and if any provision hereof, including without limitation any exemption from the fee imposed hereby, shall be held invalid in any circumstances such invalidity shall not affect any other provisions or circumstances. This act shall be construed in all respects so as to meet all constitutional requirements. In carrying out the purposes and provisions of this act, all steps shall be taken which are necessary to meet constitutional requirements whether or not such steps are required by statute.

SECTION 10. If the Town has determined that a fee is due by asserting the application of the evasion of fee doctrine described in section 2 then the seller shall have the burden of demonstrating by clear and convincing evidence as determined by the Town that the transfer, or series of transfers, possessed both: (i) a valid, good faith business purpose other than avoidance of the fee set forth in section 2 and (ii) economic substance apart from the asserted fee avoidance

benefit. In all such cases, the transferee shall also have the burden of demonstrating by clear and convincing evidence as determined by the Town that the asserted non-fee-avoidance business purpose is commensurate with the amount of the fee pursuant to section 2 to be thereby avoided.

SECTION 11. Pursuant to state enabling legislation pending with the General Court for the adoption of an act providing cities and towns the option to support affordable housing with a fee on certain real estate transactions, the legislative body of a city or town by a majority vote may adopt said act upon the passage of said act by the Senate and the House of Representatives of the General Court, and furthermore, a favorable majority vote of this Article by this Town Meeting is also deemed to be a vote by Town Meeting to adopt said act providing cities and towns the option to support affordable housing with a fee on certain real estate transactions, provided the provisions contained herein are consistent with the provisions of said act.

SECTION 12. This act shall take effect ninety (90) days following the date of passage.